

## **Day 8 Internship Notes**

**Date: 09-06-2026**

### **Work Start time**

9:00am

### **Today's Objective**

- Liquidity
- Liquidity & Market Imbalance
- Institutional Fake Breakouts
- DeepVue Moving Average Indicator

### **Topics learned Today:**

#### **Topic 1: Liquidity Sweeps:**

Today I learned about Liquidity Sweeps, also known as Liquidity Grabs or Liquidity Hunts. Liquidity refers to pending orders in the market, including stop-loss orders, buy limits, and sell limits waiting to be executed.

Large institutions require significant liquidity to execute their massive orders. Since normal market liquidity is often insufficient, institutions frequently create situations that attract retail traders into the market.

This process is known as a liquidity sweep.

Institutions often create fake breakouts above resistance or below support levels. Retail traders enter these breakouts believing a new trend has started. Their stop-loss orders accumulate around key levels, creating liquidity pools.

Once sufficient liquidity is available, institutions execute their large positions and the market rapidly reverses, trapping retail traders.

### **Types of Liquidity Pools**

#### **Swing Liquidity**

Liquidity that exists above swing highs and below swing lows.

#### **Equal Highs (EQH)**

Areas where multiple highs form at similar levels.

## **Equal Lows (EQL)**

Areas where multiple lows form at similar levels.

## **Range Liquidity**

Liquidity found at the boundaries of consolidation zones.

Institutions frequently target these locations before initiating reversals.

## **Topic 2: Combining Liquidity Sweeps with Market Imbalance:**

I learned that liquidity sweeps become more reliable when combined with market imbalance, also known as Fair Value Gaps (FVGs).

Imbalances occur when institutions create aggressive price movements, leaving behind unfilled orders.

These areas often act as magnets for future price action.

A high-probability setup occurs when:

- A liquidity pool exists.
- An imbalance aligns with the liquidity area.
- Price sweeps liquidity.
- A reversal candlestick confirms rejection.

This combination provides multiple layers of confirmation and improves trade accuracy.

## **Topic 3: Institutional Fake Breakouts:**

Institutions create fake breakouts to attract retail participation and generate liquidity.

The process works as follows:

- Institutions push price beyond a key level.
- Retail traders enter the breakout.
- Stop-loss orders accumulate.
- Institutions use these orders as liquidity.
- Price reverses sharply in the opposite direction.

This process allows institutions to fill large positions while trapping retail traders.

I learned that many breakout failures are actually liquidity sweeps engineered by institutions.

#### **Topic 4: DeepVue Moving Average Indicator:**

Today I explored the DeepVue Key Moving Averages Indicator.

This indicator simplifies multi-timeframe analysis by allowing traders to display important moving averages from different timeframes within a single chart.

Instead of manually calculating equivalent moving averages when switching between timeframes, the indicator automatically displays the correct values.

The indicator supports:

- Simple Moving Averages (SMA)
- Exponential Moving Averages (EMA)
- Intraday Timeframes
- Daily Timeframes
- Weekly Timeframes
- Monthly Timeframes

This helps traders maintain consistency while analyzing stocks across different chart intervals.

#### **Practical Learning**

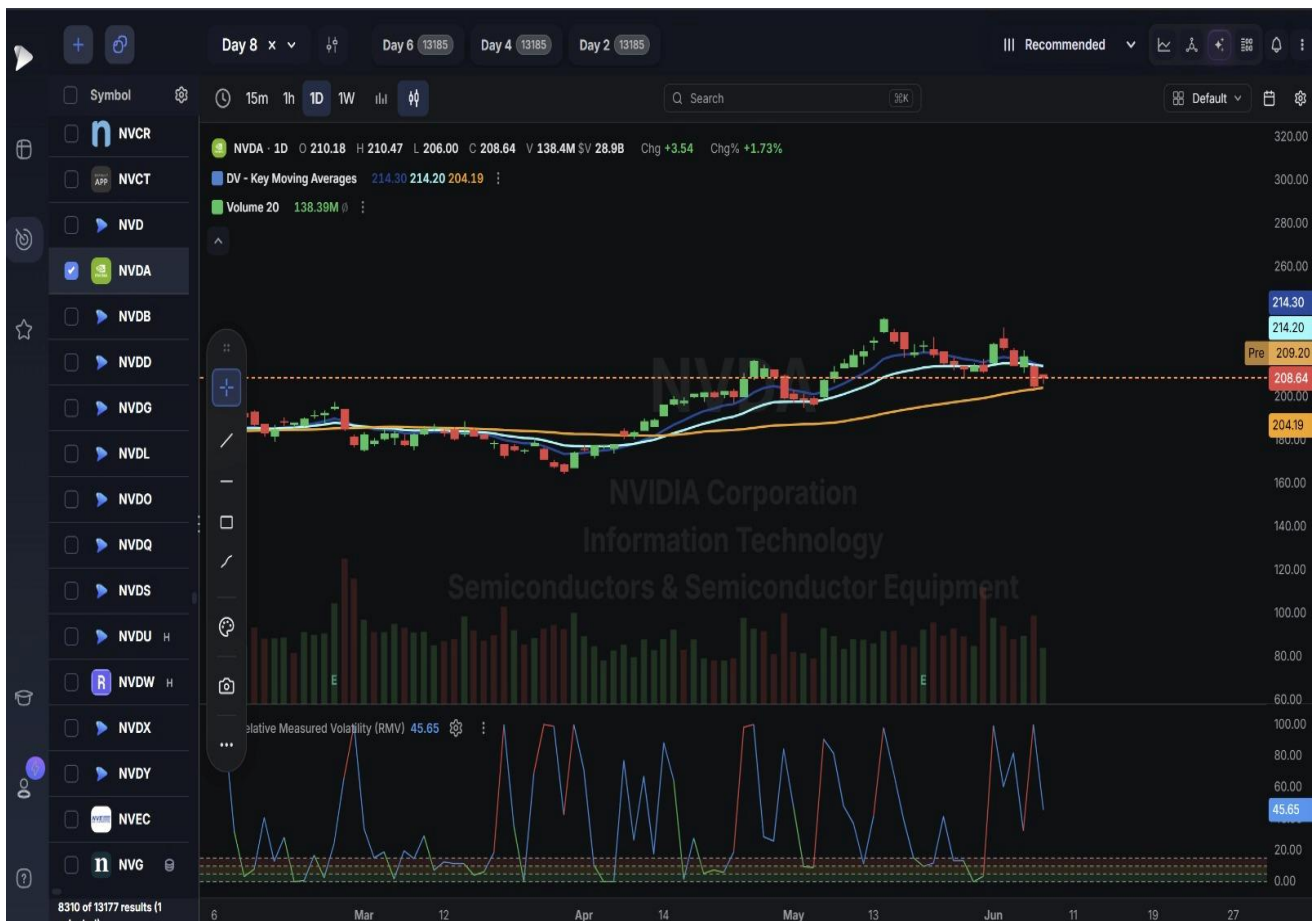
##### **Liquidity Sweep Analysis Practice**

During today's practice session, I reviewed charts containing swing highs, swing lows, equal highs, and equal lows.

The exercise involved:

- Identifying liquidity pools.
- Observing fake breakouts.
- Finding liquidity sweeps.
- Monitoring reversal behavior.
- Studying institutional activity.

This helped me understand how institutions use liquidity to execute large positions.



## DeepVue Practice – Moving Average Indicator

During today's practical session, I explored the DeepVue Key Moving Averages Indicator and learned how it simplifies multi-timeframe trend analysis. I analyzed NVIDIA (NVDA) using the indicator and observed how multiple moving averages were displayed on a single chart. I learned how traders can monitor the relationship between price and important moving averages such as the 21 EMA, 50 SMA, 150 SMA, and 200 SMA to evaluate trend direction and market strength.

I also observed how the indicator automatically adjusts moving average calculations across different chart timeframes, eliminating the need for manual calculations. This allowed me to focus more on trend analysis and less on indicator setup. Through this practice, I gained a better understanding of how professional traders use moving averages to identify support, resistance, trend continuation, and potential reversal opportunities.

## **Questions I Had and Answers I got :**

### **Q1. What is a liquidity sweep?**

A liquidity sweep occurs when price intentionally moves beyond a key support or resistance level to trigger pending orders before reversing direction. Institutions use these areas to access liquidity required for large positions.

### **Q2. Why do institutions create fake breakouts?**

Institutions create fake breakouts to attract retail traders into the market and generate liquidity. Once enough orders are available, they execute their positions and often reverse the market direction.

### **Q3. How does the DeepVue Moving Average Indicator help traders?**

The indicator allows traders to view multiple moving averages from different timeframes on a single chart. This simplifies trend analysis and improves decision-making across various trading timeframes.

## **Key Takeaway**

- Liquidity sweeps target retail stop-losses.
- Institutions require liquidity to execute large trades.
- Fake breakouts are often institutional traps.
- Imbalances provide additional trade confirmation.
- Moving averages help identify trend direction.
- The DeepVue Moving Average Indicator simplifies multi-timeframe analysis.

## **Conclusion**

Day 8 focused on understanding institutional market behavior through liquidity sweeps and fake breakouts. I learned how institutions generate liquidity, how imbalances improve trade accuracy, and how the DeepVue Moving Average Indicator simplifies trend analysis. These concepts improved my understanding of market structure, institutional activity, and professional trading workflows.